

CHAPTER 1: TEN PRINCIPLES OF ECONOMICS

Shun/115:5 (@shun4midx)

TEN PRINCIPLES OF ECONOMICS (Not direct quote but general idea)

How People Make Decisions

1. Trade-offs $\rightarrow$ TW Budget Trade-off, Efficiency vs Equality (income redistribution)
2. Opportunity cost $\rightarrow$ Military service
3. Marginal cost/benefit $\rightarrow$ Water-Diamond Paradox, Netflix, standby seat cost in flights
4. Incentives change costs/benefits $\rightarrow$ Tarpe: Trash Policy (good), Seat Belt Law (bad)

How People Interact

5. Trading lets ppl specialize in what they do best $\rightarrow$ TW trading chips for oil, coal, and natural gas
6. Market economies (not centrally planned) $\rightarrow$ TW high density of convenience stores, Adam Smith's Invisible Hand
7. Government enforcement (property rights) $\rightarrow$ TW National Health Insurance (equality)

How the Economy as a Whole Works

8. Productivity $\Rightarrow$ living standards $\rightarrow$ The TW Miracle
9. Inflation $\rightarrow$ Gov creates money faster than economy production
10. Inflation and unemployment +ve feedback loop $\rightarrow$ $\uparrow$ money $\Rightarrow$ $\uparrow$ spending $\Rightarrow$ $\uparrow$ hiring / $\downarrow$ unemployment $\Rightarrow$ $\uparrow$ inflation...

BASIC DEFINITIONS

- Scarcity: The limited nature of society's resources
- Economists: The study of how society manages its scarce resources

HOW PEOPLE MAKE DECISIONS

- Efficiency: The property of society getting the most it can from its scarce resources
- Equality: The property of distributing economic prosperity uniformly among the members of society
- Opportunity cost: What must be given up to obtain an item
- Rational people: People who systematically do the best they can to achieve their objectives, given the opportunities they have
- Marginal change: A small incremental adjustment to an existing plan of action
- Incentive: Something that induces a person to act

HOW PEOPLE INTERACT

- Market economy: An economy that allocates resources through the decentralized decisions of many firms and households as they interact in markets for goods and services
- Adam Smith's Invisible Hand steers markets and households towards outcomes that maximize the well-being of society as a whole
- Property rights: The ability of an individual to own and exercise control over scarce resources
- Market failure: A market left on its own fails to allocate resources efficiently
- Externality: The effect of one person's actions on a bystander $\rightarrow$ e.g. pollution
- Market power: A single actor's ability to influence market prices $\rightarrow$ e.g. monopoly

HOW THE ECONOMY AS A WHOLE WORKS

- Productivity: #goods/services per unit of labor input
- Inflation: $\uparrow$ overall prices in the economy
- The business cycle: Fluctuations in economic activity, e.g. employment and production